

FEDERAL MARITIME COMMISSION

PETITION OF OCEAN NETWORK
EXPRESS PTE. LTD. FOR AN
EXEMPTION FROM 46 C.F.R. §
530.10

Docket No. P5-17

Served: February 8, 2018

BY THE COMMISSION: Michael A. KHOURI, *Acting
Chairman*, Rebecca F. DYE and Daniel B. MAFFEI,
Commissioners.

Order Granting Petition

I. BACKGROUND

On December 15, 2017, Ocean Network Express Pte. Ltd. (ONE) filed with the Federal Maritime Commission (Commission) the above-captioned petition for exemption from the provisions of 46 C.F.R. § 530.10 requiring individual service contract amendments to be filed with the Commission. ONE is the Singapore entity that will acquire the assets of the container shipping divisions of the following carriers: Kawasaki Kisen Kaisha, Ltd. (K Line), Mitsui O.S.K. Lines, Ltd. (MOL), and Nippon Yusen Kaisha (NYK) on or around April 1, 2018. At that point, ONE will operate as an ocean common carrier. Pet. at 1. ONE states that among the assets being transferred to ONE are the existing service contracts of the

individual carriers, which will be assigned to ONE in accordance with their terms and applicable law. *Id.* The Petition indicates that there are approximately 4,800 such contracts. *Id.*

ONE asserts that the assignment of the individual carriers' service contracts to ONE would require filing an amendment to each individual contract with the Commission, which according to ONE would be unduly burdensome on both it and the shipper parties to the contracts. Pet. at 1–2.

Therefore, ONE requests an exemption from the provisions in 46 C.F.R. § 530.10 requiring that amendments to each individual service contract be filed with the Commission. ONE requests that the Commission permit a universal notice to the Commission and to service contract parties in lieu of filing an amendment for each contract. Additionally, ONE proposes to electronically send notices to each shipper signatory to a service contract with the individual carriers advising them of the assignment of the contract to ONE and advising that if their agreement requires that they consent to the assignment, they reply by email no later than March 1, 2018.

ONE argues that this exemption is “purely administrative” and that the Commission has previously found that it is “unlikely that [such an] amendment will result in a substantial reduction in competition or be detrimental to commerce.” Pet. at 2–3 (quoting *Pet. of Crowley Caribbean Servs., LLC and Crowley Latin America Servs., LLC for an Exemption from 46 C.F.R. § 530.10*, 33 S.R.R. 1461 (FMC 2016)).

On January 4, 2018, the Commission published a notice in the Federal Register requesting comment on the Petition. 83 Fed. Reg. 528. The Commission received no comments.

ONE also submitted a request for special permission to deviate from 46 C.F.R. § 520.7(a)(3), which states that tariffs may not contain cross-references to any other rate tariffs except for multiple common tariffs of a conference agreement.

II. DISCUSSION

As an initial matter, the Commission has determined that the special permission request for waiver of the requirements in 46 C.F.R. § 520.7(a)(3) should be treated as a request for exemption under § 520.13 rather than as a request for special permission under § 520.14. Section 520.14 provides that the Commission, through delegated authority to the Bureau of Trade Analysis, may for good cause permit tariff changes to go into effect on less than the statutory notice period, and may permit departures from the requirements of Part 520. 46 C.F.R. § 520.14(a). Section 520.13 provides that the Commission may grant exemptions from the requirements in Part 520 under the standard set forth in 46 U.S.C. § 40103 and in accordance with the procedure in Part 502. 46 C.F.R. § 520.13(a).

Historically, special permission applications have been limited to requests regarding single tariffs and single carriers, usually involving one-off or short-notice issues. The limited scope of such waivers is supported by the only example of good cause described in the regulation: typographical or clerical errors. *See* § 520.14(b). Exemption petitions, on the other hand, have generally involved entities seeking significant and across-the-board waivers from otherwise applicable requirements. *See, e.g., Pet. of COSCO Container Lines Europe GmbH from 46 U.S.C. § 40703*, Docket No. P3-15 (Nov. 9, 2015), (petitioning for an exemption from the requirement that controlled carriers provide thirty days' notice to increase or decrease their tariff rates); *Pet. of APL Co. Pte. Ltd.*, 34 S.R.R. 211 (FMC 2016) (petitioning for an exemption from 46 C.F.R. § 520.7(a)(4), which prohibits duplicative or conflicting tariffs). Accordingly, because the case at hand involves a significant issue that affects customers of three lines whose tariffs are being terminated and replaced by ONE's tariff, it is being treated as a request for an exemption.

The Commission's regulations governing service contracts provide that "Service contracts may be amended by mutual

agreement of the parties to the contract.” 46 C.F.R. § 530.10(b). Amendments must be filed electronically with the Commission in the manner set forth in 46 C.F.R. § 530.8 and appendix A to 46 C.F.R. part 530. The regulations governing tariffs prohibit the cross-reference of other rate tariffs except in certain, limited circumstances. 46 C.F.R. § 520.7(a)(3).

Exemptions from the requirements of Parts 520 and 530 are governed by 46 U.S.C. § 40103 and the Commission’s Rules of Practice and Procedure. 46 C.F.R. §§ 520.13(a); 530.13(b). Under 46 U.S.C. § 40103(a), the Commission may grant exemptions from the Act, “if the Commission finds that the exemption will not result in substantial reduction in competition or be detrimental to commerce.” 46 U.S.C. § 40103(a).

The Commission has generally granted exemptions from 46 C.F.R. § 530.10 in similar situations. *See Pet. of COSCO Container Lines Co. Ltd.*, 34 S.R.R. 97 (FMC 2016); *Pet. of Crowley Caribbean Servs., LLC*, 33 S.R.R. 1461 (FMC 2016); *Pet. of Compañía Sud Americana de Vapores S.A.*, 33 S.R.R. 934 (FMC 2015); *Pet. of Hanjin Shipping Co., Ltd.*, 31 S.R.R. 1080 (FMC 2009). The Commission similarly concludes that an exemption from § 530.10 in this case will reduce the filing burdens on both ONE and the shipper parties and will not result in a substantial reduction in competition or be detrimental to commerce.¹

ONE’s request to deviate from § 520.7(a)(3) to allow for

¹ The Commission notes that the competitive and commercial effects under consideration in this matter are limited to those resulting from the exemptions (i.e., the effects of ONE issuing the proposed notices and including cross-references to ONE’s tariff in the notices terminating the carriers’ individual tariff rather than filing individual amendments for all 4,800 service contracts with the Commission) and not the competitive and commercial effects of the transfer of the container shipping divisions of K Line, MOL, and NYK to ONE generally.

cross-referencing in tariffs also arises out of a need to avoid the administrative burden that would result from amending the governing tariff references in the approximately 4,800 service contracts that ONE will inherit from K Line, MOL, and NYK. Req. for Special Permission at 1. The parties propose to include a cross-reference in the notices terminating the K Line, MOL, and NYK tariffs and a corresponding notice to be published in the ONE tariffs. Req. for Special Permission at 1–2.

The Commission has granted similar requests in the past. For instance, APL requested a similar exemption from § 520.7(a)(4), which requires that published tariffs “[n]ot duplicate or conflict with any other tariff publication.” Like the situation in this case, service contracts and associated tariffs from another carrier were being transferred to APL, and APL sought an exemption in order to smoothly facilitate the transition. The Commission found that the exemption would reduce filing burdens on APL and shipper parties without the potential for any negative competitive or commercial effects resulting from the exemption. *Pet. of APL Co. Pte. Ltd.*, 34 S.R.R. 211 (FMC 2016). Similarly, we find that the requested exemptions in this case will not result in a substantial reduction in competition or be detrimental to commerce.

The Commission finds that the potential for negative competitive or commercial effects resulting from the exemption is limited given ONE’s assurances that shipper parties will receive the same contract terms and service they presently receive from K Line, MOL, and NYK. Moreover, the Commission believes ONE’s proposed measures, comparable to conditions imposed on previously granted exemptions from 46 C.F.R. §§ 520.7(a) and 530.10, offer adequate protection against any potential harm to competition or commerce. As described in ONE’s proposed notice to shipper parties, formal consents or amendments can be prepared if a party so requests. Additionally, the existing carriers’ tariffs will be terminated with a notice cross-referencing the new ONE tariffs that will govern the assigned service contracts.

III. CONCLUSION

For the reasons discussed above, the Commission is granting the petition, subject to certain conditions.

THEREFORE, IT IS ORDERED, that the Petition is GRANTED, provided that:

1. Upon granting of the Petition, ONE notifies, in the form and manner set forth in the Petition, all affected shippers of the change in carrier parties to the service contracts;
2. ONE files, not later than [5 days after date of Order], a Universal Notice with the Commission through SERVCON, enumerating all affected service contracts;
3. If any affected shipper opts to file an individual amendment such amendment shall be promptly filed pursuant to 46 C.F.R. § 530.10(b);
4. K Line, MOL, and NYK inserts cross-references to the ONE tariffs in the notices terminating their tariffs and ONE inserts a corresponding notice in its tariffs, in the manner set forth in the special permission request.

IT IS FURTHER ORDERED, that this proceeding is discontinued.

By the Commission.

Rachel E. Dickon
Assistant Secretary